

STOP LOSS

Before entering a trade, the maximum loss that you are willing to take is where you have your stop loss. Stop loss is a risk management tool that helps you exit a trade. As it hits the maximum loss mark where we set the stop loss, it exits the trade and stops our losses there.

For instance, we buy

BUY

CALL STRIKE PRICE

CALL PREMIUM



₹5000



₹25

ONE WAY TO SET A STOP LOSS IS BASED ON THE UNDERLYING ASSET PRICE. FOR INSTANCE, A STOP LOSS WHEN UNDERLYING ASSET PRICE FALLS BELOW ₹4500.

ALTERNATIVELY, YOU CAN HAVE MORE DIRECT STOP LOSS ON THE CALL OPTION PREMIUM AMOUNT. IF THE PRICE FALLS BELOW ₹15 FOR EXAMPLE.

